



ESCOLA
POLITÀCNICA SUPERIOR
UNIVERSITAT DE LLEIDA

CHAPTER 1

THE BUSINESS IDEAS AND THEIR STRATEGIC VIABILITY

Master's Degree in Informatics Engineering

POLYTECHNIC SCHOOL

University of Lleida



Universitat de Lleida
Escola Politècnica Superior

SECTION 1.1:

Business Model Canvas

Concept:

- BMC is a strategic management and lean startup template for developing new or documenting existing business models.
- Created in 2005 by Alexander Osterwalder (St. Gallen, Swiss, 1974).

Characteristics:

- Visual
- Organized by blocks
- Identify quickly the main activities
- No restriction for any business: industry, technologies, agri, services,

SECTION 1.1:

Business Model Canvas

Business Model Canvas	Designed for:	Designed by:	Date:	Version:
Key partners	Key activities	Value propositions	Customer relationships	Customer Segments
	Key resources		Channels	
Cost Structure		Revenue Streams		

SECTION 1.1:

Business Model Canvas

Key partners: Identify the most important partners.

- Who are our key partners? And suppliers?
- Which key resources are we acquiring from them?
- Which key activities do they perform?

Key activities: Identify the most important activities.

- Which are the main (value) tasks of your company?
- What do you do every day to run your business model?
- They will link with our Value Propositions.

SECTION 1.1:

Business Model Canvas

Key resources: Strategic assets needed.

- What kind of infrastructure will be necessary? Virtual or physical?
- What about our expertise and knowledge processes?
- Linked with the business' Key Activities.

Value propositions: Products and services that we offer.

- What value do we deliver to the client?
- Which one of our customer's problems are we helping to solve?
- Which customer needs are we satisfying?
- They will be related with the customer segments.

SECTION 1.1:

Business Model Canvas

Customer relationship: Identify the type of relationship that we want to create.

- What type of relationship do we expect to establish with them?
- Which ones have we established?
- How are they integrated with the rest of our business model?
- How costly are they?

Channels: Deliver each value proposition in different ways.

- Through which channels do our clients segments want to be reached?
- How are we reaching them now?
- How are our channels integrated? Which ones work best?
- Which ones are most cost-efficient?

SECTION 1.1:

Business Model Canvas

Customer segments: Identify which clients we try to serve.

- For whom are we creating value?
- Which are our segments/dimensions for these customers?

Cost structure: Identify monetary consequences.

- What are the most important cost inherit in our business model?
- Which key resources are most expensive? And activities?

SECTION 1.1:

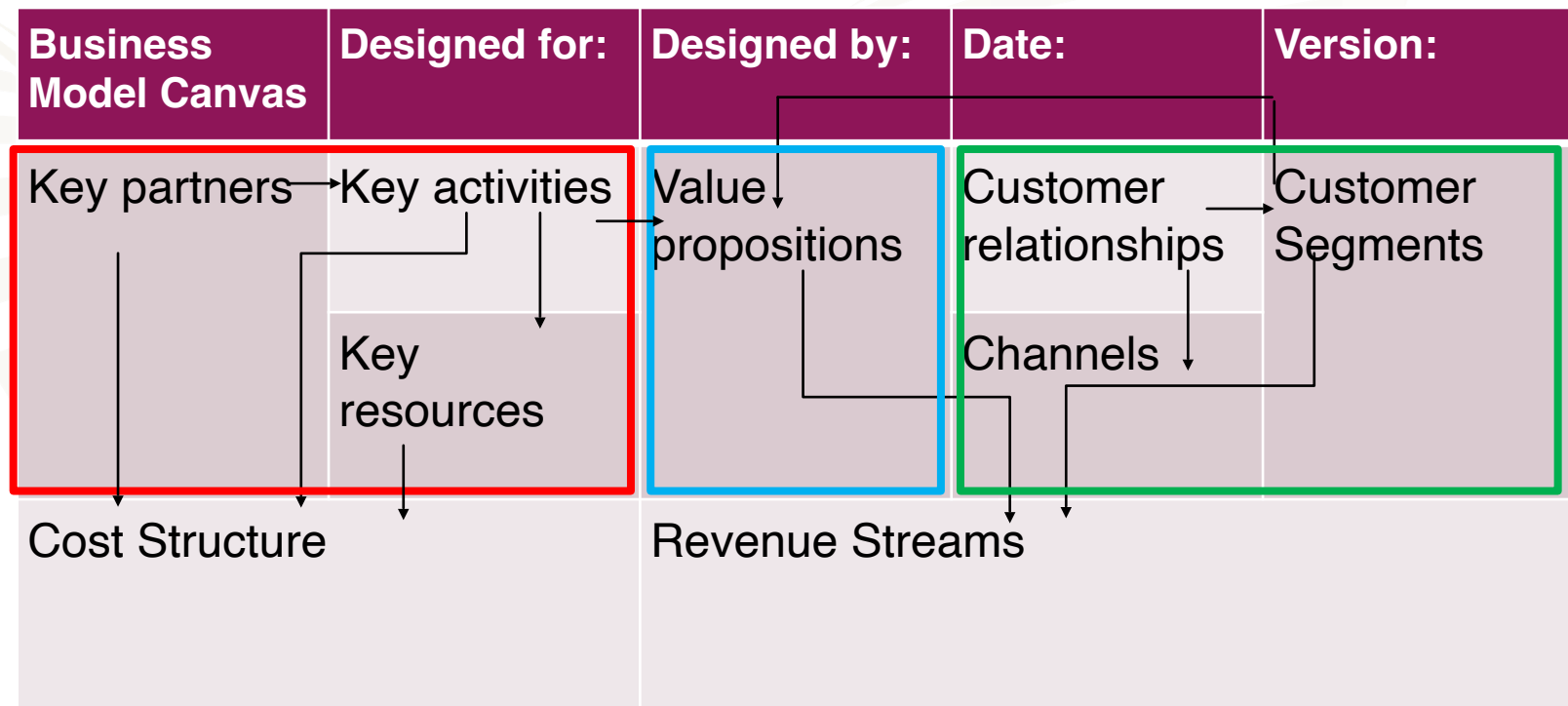
Business Model Canvas

Revenue streams: Incomes from each customer segment.

- How do we earn money?
- Which ones have we established?
- What other benefits are we getting?
- Which types of revenues we can have?

SECTION 1.1:

Business Model Canvas



— Infrastructure
— Offering

— Customers
— Connections

SECTION 1.2:

Blue / Red Ocean Strategy

Concept / Idea:

- How to differentiate our Value Proposition and grow in new (non)customer segments.
- How do we compete? Either we have an unique product/service or we must DIFFERENTLY ourselves in our Value Proposition and Service.
- We need to differentiate our value proposition for current customers, but we do not currently have... So, we definitely need to move on the new ones.



SECTION 1.3:

Red Ocean

Red Ocean:

- All of us are fighting in RED OCEANS:
 - Established industries
 - Similar products and services
 - Increasingly rapid product life cycle
 - Lack of differentiation...
 - We are torn in price wars
 - Progressive margin reduction



SECTION 1.3:

Red Ocean

Red Ocean:

- We have learned how to compete in a red ocean:
 - Limited vision: classic competitors
 - Objective: gaining market share by beating the competition
 - Seeking to be better or cheaper
 - Cost reduction to increase margins
 - Technical innovations

SECTION 1.4:

Blue Ocean Strategy

Blue Ocean Strategy:

- The best methodology to evolve / differentiate the Value Proposition for current customers and find new segments of (non)customers is the BLUE OCEAN STRATEGY.
- Why to move there? **Benefits Blue Ocean Strategy:**
 - Your competition is significantly reduced
 - Profitable and sustainable growth
 - Increased customer value, without increased costs.
 - Non-customer acquisition
 - Differentiation and incremental business



SECTION 1.4:

Blue Ocean Strategy

Blue Ocean Methodology:

- Strategic Framework
- Identify (NON) CUSTOMER segments
- RICE Matrix
- Define new Value Curve for the target segment



SECTION 1.4:

Blue Ocean Strategy

Strategic Framework

Steps to follow:

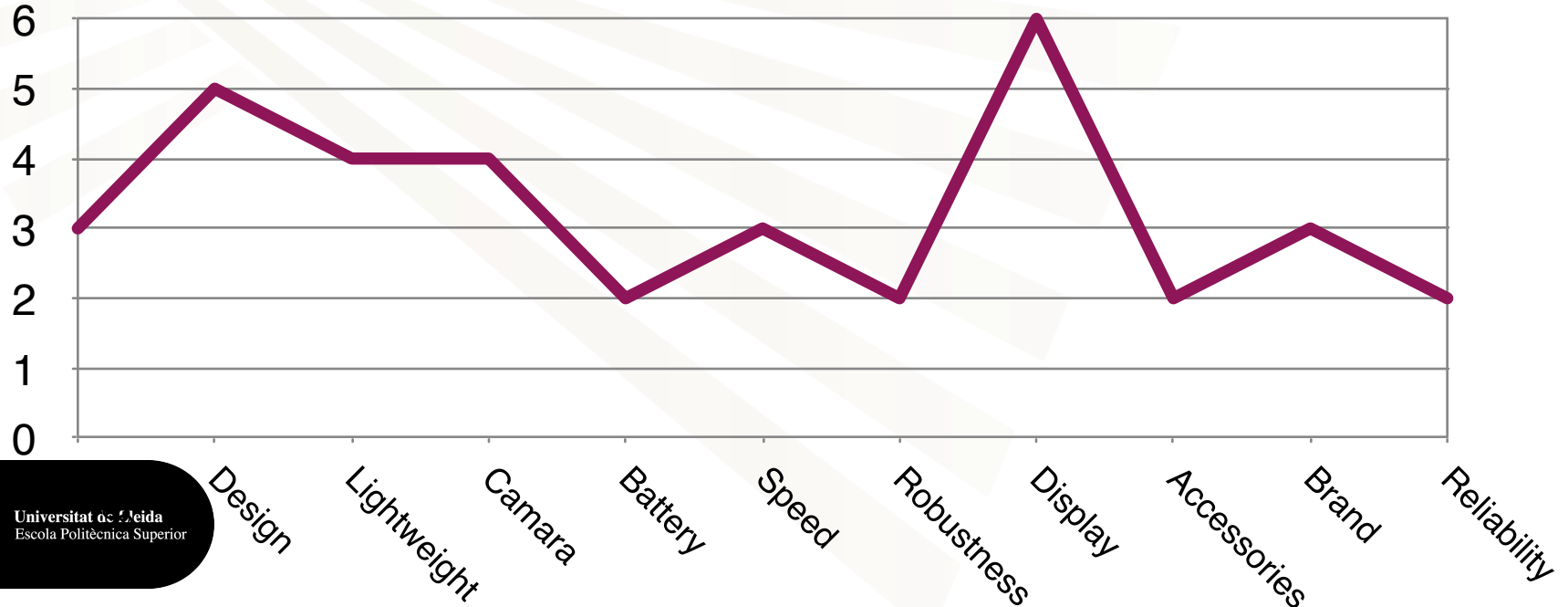
- Set up the variables of the Strategic Framework (key factors on which the Sector competes on) that define the value proposition we are evaluating (what is perceived as VALUE by the customer).
- Assess these variables for each value curve to be evaluated (own, competitors, Sector average...):
 - 1 = Less value
 - 6 = More value
 - 0 = Eliminate variable

SECTION 1.4:

Blue Ocean Strategy

It shows the strategic profile of our company, of existing and potential competitors, and the strategic profile of a sector.

Strategic Framework:





SECTION 1.4:

Blue Ocean Strategy

Identify (NON)CUSTOMER segments

NON CUSTOMERS	KIDS	BABYS
ELDERY	TEENEGERS	People who use it sporadically: mountain, foreigners...



SECTION 1.4:

Blue Ocean Strategy

Identify (NON)CUSTOMER segments

CUSTOMERS	S	BA S
ERY	TEENEGERS	People who use it sporadically: mountaineers, foreigners...



Teenagers between 13-16 years!

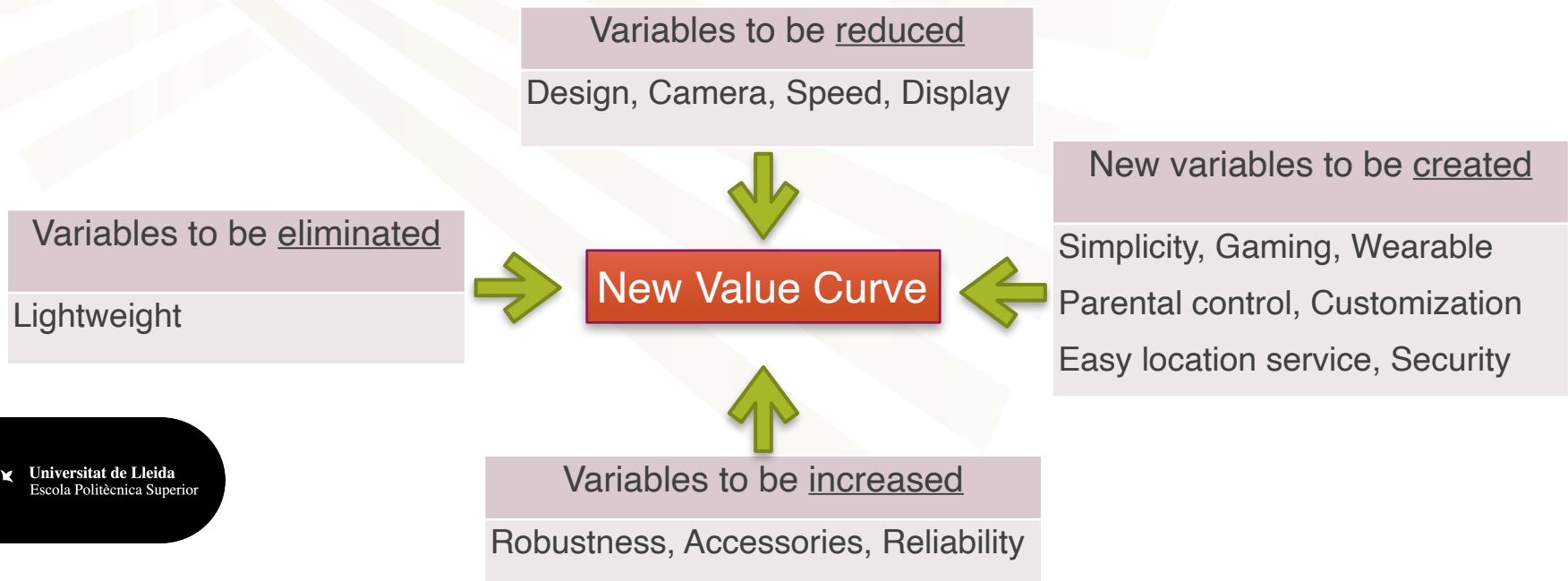
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Blue Ocean Strategy

RICE Matrix

Stands for: Reduce, Increment, Create and Eliminate variables, thinking about the new segment.

Thinking about for TEENS from 13-16 years old (that will satisfy parents)....

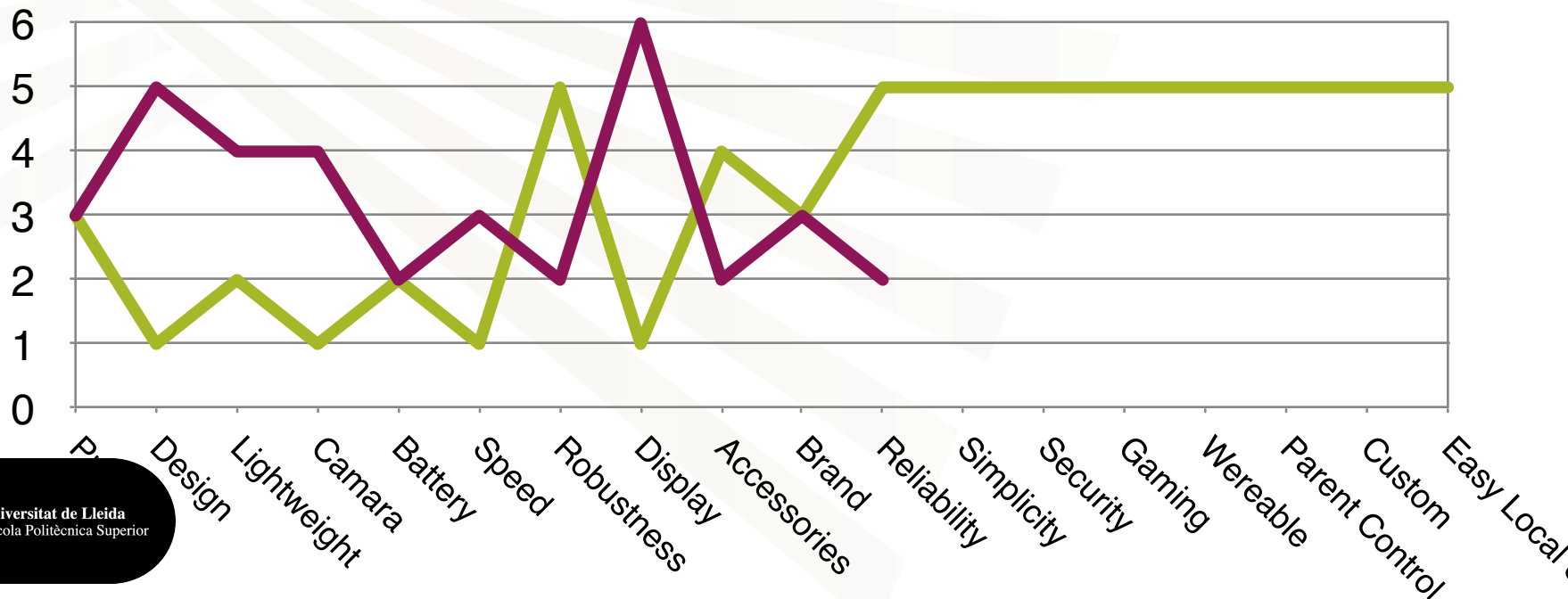


SECTION 1.4:

Blue Ocean Strategy

The new curve must be DIFFERENT and focus on the variables perceived as VALUE by the segment.

New Value Curve - New RICE Matrix



SECTION 1.5:

BMC & Blue Ocean Strategy

Assignment 0 !!

- Draw a Business Model Canvas and Blue Ocean Strategy based on your business idea worked during last months.
- Let's check Virtual Campus to see more information!!